Syllabus
Behavioral Finance
Prof. Rodrigo Leite

Tuesdays from 1:15PM to 4:30PM

Dates: Feb 24th, Mar 3rd, Mar 10th, Mar 17th, Mar 24th, Mar 31st, Apr 7th, Apr 14th (+2 TBD)

Introduction

This course examines the intersection of finance, economics and psychology, emphasizing how human behavior shapes judgment and decision making, financial outcomes and market dynamics. It challenges traditional financial theories by analyzing the role of cognitive biases, emotions, and social influences in driving financial choices. Key topics include behavioral biases such as overconfidence, the disposition effect, and social media influence, as well as their implications for investment strategies, market anomalies, corporate decisions and the real economy.

This course aims to equip students with a solid understanding of how behavioral biases influence financial outcomes. By the end of the course, students will be able to grasp the behavioral foundations of finance, recognize and analyze cognitive biases, assess their effects on markets and organizations, apply behavioral insights to practical financial contexts, and critically evaluate empirical evidence in the field.

Grading

- Paper Presentations: 20%
- Replication Assignment: 20%
- Paper Review: 20%
- Final Paper: 20%
- Final Exam: 20%

Paper Presentations: Students should prepare a 20-minute presentation of each paper in the readings. For the first class I will randomly select two students to present the papers. For the subsequent presentations students can select amongst themselves who will present. This selection should be made in a way that each student roughly presents the same number of papers during the course.

Replication Assignment: I will share a dataset of a published paper, and I will ask students to replicate the findings from the paper. Each student should prepare a presentation of the findings and explain how you arrive at the results. This presentation will be held at Class #8.

Paper Review: I will share a paper with students, and you must act as a reviewer from a top finance journal. You should write a comprehensive review with suggestions to the authors, and you also should write a Cover Letter for the Editor explaining your recommendation to either reject or resubmit the manuscript. The deadline for the Paper Review is at Class #9.

Final Paper: You should write a 10- to 15-page proposal on the topic of behavioral finance and economics. You should also prepare a presentation on your proposal, explaining the research gap, research questions, literature, how you expect to test the hypotheses and expected results. The presentation will be at Class #9, and the deadline for the final paper will be at Class #10.

Final Exam: In the final class I will conduct a closed-book final exam on the topics discussed during our course.

Readings

Class 1: Foundations of Behavioral Finance

Fama, E. (1970) Efficient Capital Markets: A Review of Theory and Empirical Work. *Journal of Finance,* 25(2): 383–417.

Kahneman, D., & Tversky, A. (1979) Prospect Theory: An Analysis of Decision under Risk. *Econometrica,* 47(2): 263–292.

Class 2: Overconfidence

Barber, B., & Odean, T. (2001) Boys Will Be Boys: Gender, Overconfidence, and Common Stock Investment. *Quarterly Journal of Economics,* 116(1): 261–292.

Malmendier, U., & Tate, G. (2005) CEO Overconfidence and Corporate Investment. *Journal of Finance,* 60(6): 2661–2700.

Cardoso, R., Leite, R., & Aquino, A. (2016) A Graph is Worth a Thousand Words: How Overconfidence and Graphical Disclosure of Numerical Information Influence Financial Analysts' Accuracy on Decision Making. *PLOS One*, 11(8): e0160443.

Class 3: Disposition Effect and Local Bias

Odean, T. (2002) Are Investors Reluctant to Realize Their Losses? *Journal of Finance,* 53(5):1775–1798.

Seasholes, M. & Zhu, N. (2010) Individual Investors and Local Bias. *Journal of Finance*, 65(5): 1987–2010.

Døskeland, T., & Hvide, H. (2011) Do Individual Investors Have Asymmetric Information Based on Work Experience? *Journal of Finance,* 66(3): 1011–1041.

Class 4: Sentiment and Emotions

Cortés, K., Duchin, R., & Sosyura, D. (2016) Clouded judgment: The Role of Sentiment in Credit Origination. *Journal of Financial Economics*, v. 121(2), p. 392 – 413.

Wang, X., Xian, Z., Xu, W., & Yuan, P. (2022) The Causal Relationship Between Social Media Sentiment and Stock Return: Experimental Evidence from an Online Message Forum. *Economics Letters*, 216: 110598.

Cheng, W., Leite, R., & Caldieraro, F. (2022) Financial contagion in internet lending platforms: Who pays the price? *Finance Research Letters*, 45: 102187

Class 5: Impression Management and Cognitive Reflection

Cardoso, R., Leite, R., & Aquino A. (2018) The effect of cognitive reflection on the efficacy of impression management: An experimental analysis with financial analysts. *Accounting, Auditing and Accountability Journal*, 31(6): 1668–1690

Cardoso, R., Leite, R., Balloni, A., & Richter, T. (2024) When enough is enough: The impact of combined graphical impression management on financial judgement. *Journal of Behavioral and Experimental Finance*, 43: 100969.

Moura, L., Sacramento, L., Leite, R, & Bastos, S. (2025) Mask usage during earnings calls as an impression management tool. *Latin American Business Review*, 26(3): 213-228.

Class 6: Effects of Inflationary Experiences

Fajardo, J., & Dantas, M. (2018) Understanding the impact of severe hyperinflation experience on current household investment behavior. *Journal of Behavioral and Experimental Finance*, 17: 60–67.

Weber, M. et al. (2025) Tell Me Something I Don't Already Know: Learning in Low- and High-Inflation Settings. *Econometrica* 93(1): 229–264.

Georgarakos, D. ⓡ Gorodnichenko, Y. ⓡ Coibion, O. ⓡ Kenny G. (2024) The Causal Effects of Inflation Uncertainty on Households' Beliefs and Actions. *NBER Working Paper* 33014.

Class 7: Financial Influencers and Non-Expert Advice

Keasey, K., Lambrinoudakis, C., Mascia, D. & Zhang, Z. (2025) The Impact of Social Media Influencers on the Financial Market Performance of Firms. *European Financial Management*, 31 (2): 745–785

Kadous, K., Mercer, M., & Zhou, Y. (2025) Why Do Investors Rely on Low-Quality Investment Advice? Experimental Evidence from Social Media Platforms. *Behavioral Research in Accounting*, 37(1): 97–115.

Leite, R., Moraes, F., & Moura, M. (2025) Pay to Pump: Financial Influencers and Stock Returns. *Applied Economics Letters*, forthcoming.

Class 8: Presentations of Replication Assignment

Class 9: Final Paper Presentations

Class 10: Final Exam

About the Professor

Prof. Rodrigo Leite holds a PhD in Business from EBAPE/FGV and is Assistant Professor of Finance at COPPEAD/UFRJ. He was also a Visiting Professor at INSEAD (France) and CUNEF Universidad (Spain) as well as a former Assistant Professor of Accounting at Rio de Janeiro State University. His research has been published in several finance, economics, accounting, and administration journals such as the "Journal of Public Administration Research and Theory" (ABS 4), "Journal of Business Ethics" (ABS 3 & FT-50), "The International Journal of Accounting" (ABS 3), "Accounting, Auditing and Accountability Journal" (ABS 3), "Accounting Forum" (ABS 3), "Journal of International Financial Markets, Institutions and Money" (ABS 3), "International Journal of Finance and Economics" (ABS 3), "Finance Research Letters " (ABS 2), "Journal of Economics and Business" (ABS 2), "Research in International Business and Finance" (ABS 2), "International Review of Economics and Finance" (ABS 2), "Journal of Economic Studies" (ABS 2), "Journal of Behavioral and Experimental Finance" (ABS 1), "Applied Economics Letters" (ABS 1), "Research in Economics" (ABS 1), and "Latin American Business Review" (ABS 1). His research has been awarded with a nomination for the Carolyn Dexter Award for Best International Paper (Academy of Management, 2024), as well as the Clovis L. Machado-da-Silva Award (Brazilian Academy of Management, 2023), two ENANPAD Best Division Paper Awards (Brazilian Academy of Management, 2016 in Accounting & 2023 in Strategy), a Best Plenary Section Paper (USP International Conference in Accounting, 2018) and was twice featured in SSRN's Top 10 Download List (2021 & 2024). Prof. Rodrigo is listed in the upper quartile of economic researchers in Brazil over the last decade, as measured by RePEc. He is a member of the Board of the Brazilian Finance Society since 2023.